GLOBAL ISSUES RESEARCH BRIEF

China and the oil crisis

A strategic reserve built from cheap barrels, released into the tightest oil market in history — and the price spike the world did not get.

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EXECUTIVE SUMMARY

The argument in brief

01

The Strait of Hormuz has been effectively shut since 28 February 2026, cutting off roughly a fifth of world oil supply. The IEA calls it the largest disruption the oil market has ever recorded.

02

China entered it holding around 1.2 billion barrels, bought cheaply over two decades. It met the shortfall from storage and stopped buying, rather than bidding against other importers.

03

Brent sits near $90 rather than the $120 to $200 analysts modelled. Whether that makes China a stabiliser or a beneficiary is the genuine debate, and this brief presents both.

BACKGROUND

What closed the strait

28 Feb	US and Israeli military action against Iran begins. Brent moves from $71 to $94 within ten days.
Early Mar	Iran attacks commercial shipping across the Persian Gulf. Transits fall below 10 per cent of pre-war levels. Qatar declares force majeure on LNG exports; Saudi Aramco shuts the Ras Tanura refinery.
11 Mar	The IEA agrees to release 400 million barrels across some 30 countries — the largest coordinated drawdown in its history. Prices do not fall.
7 Apr	A ceasefire is announced and Brent retreats from its $118 peak. Tanker traffic stays far below pre-war levels; Iran formalises two designated safe routes under its own control.
Jul – Aug	The strait closes again in early July. Against roughly 130 transits a day before the war, MarineTraffic counted between eight and fifteen crossings on individual days in August.

DEFINING THE ISSUE

Chokepoint dependence

A chokepoint is a narrow sea lane with no substitute at scale. Its risk is not scarcity of oil but the loss of the route that carries it.

Hormuz is the extreme case. Pipeline bypass capacity across the Arabian Peninsula tops out near 5 million barrels a day, and the exporters who could replace the rest sit in the Atlantic Basin, Eurasia and Western Canada — weeks of sailing away, with only modest spare volumes.

This is why the closure is a global issue in the sense the United Nations uses the term: no single state, including the state that closed it, can restore the flow alone.

20 mb/d

Crude and products carried before the war — about one fifth of world consumption

34%

Share of global seaborne crude trade transiting the strait in 2025

1 in 4

Cargoes of the world's liquefied natural gas also pass through it

44%

Of exports through Hormuz were bound for China and India alone

HISTORICAL CONTEXT

Oil shocks since 1973

EVENT	GLOBAL SUPPLY DISRUPTED	SHARE	PRICE RESPONSE
Arab oil embargo, 1973		7%	Prices roughly quadrupled
Iranian revolution, 1979		6–7%	More than doubled — 5.6 mb/d lost
Invasion of Kuwait, 1990		6–7%	More than doubled
Hormuz closure, 2026		~20%	Peaked at $118, back near $90 by August

March 2026 recorded a supply loss of 10.1 mb/d — nearly twice the next largest disruption on record. Sources: IEA, Energy Institute, Middle East Eye.

CURRENT SITUATION · AUGUST 2026

Where the market stands

$89.53
Brent, October delivery — up about 24 per cent on pre-war levels

8.3 mb/d
Gulf production still shut in as of July

−4.3 mb/d
Forecast fall in global supply across 2026, to 102 mb/d

−1.6 mb/d
Forecast fall in global demand — the shock is destroying consumption

Prices sit well below the level the physical shortfall implies. Analysts read this as the market pricing the prospect of a deal rather than the reality of the disruption — a gap that closes violently if talks fail.

The EIA does not expect Middle East production near pre-conflict levels before early 2027. The IEA warns that the inventory buffers absorbing the shortfall are now depleting quickly.

ACTORS AND STAKEHOLDERS

Who holds the levers

ROUTE CONTROL

Iran

Holds transit as leverage. Designated its own safe corridors and let the August memorandum lapse without renewal.

BELLIGERENTS

United States, Israel

Naval blockade and escort operations. Washington released 172 million barrels from its own reserve of 415 million.

PRODUCERS

Gulf states, OPEC+

Spare capacity is worthless while the exit is blocked. Output cannot rise until flows normalise in both directions.

DEMAND AND STORAGE

China

Largest buyer, largest stockpile, and the only importer able to withdraw from the market for months at a time.

EXPOSED IMPORTERS

India, Japan, Korea

A combined 3.8 mb/d through Hormuz, with far thinner cover and no comparable reserve position.

COORDINATION

IEA, IMF, World Bank

Reserve releases and emergency finance. Neither instrument can reopen a shipping lane.

THE RESERVE, PART ONE

China's exposure

On the eve of the war China was the single largest destination for oil leaving the Gulf — 37 per cent of everything transiting Hormuz, and more than 1 million barrels a day of it produced by Chinese state oil companies themselves.

By the standard measure of energy security, that made China the most exposed large economy in the world. It did not behave like one.

Part of the answer is structural. Oil is only a fifth of China's total energy supply; coal is 58 per cent and renewables approaching 10. The marginal barrel matters less to the Chinese economy than to almost any other major importer.

HORMUZ CRUDE BY DESTINATION, Q1 2026

China	5.4 mb/d
India	2.1 mb/d
Korea and Japan	1.7 mb/d

China's share alone was 37 per cent of total Gulf exports through the strait.

THE RESERVE, PART TWO

Building the reserve

The stockpile was filled counter-cyclically: heaviest buying when barrels were cheapest and sellers had fewest alternatives.

2020

Buying the price collapse

Pandemic demand destruction sent crude to historic lows. Chinese buyers filled tankage aggressively while other importers cut back.

2022 – 24

Buying the sanctions discount

Russian crude reached a record 2.17 mb/d in 2024 at discounts of $5–10 a barrel, supported by an explicit government mandate to stockpile.

2025

Widening the sources

Iranian and Venezuelan volumes routed via Malaysia, whose recorded shipments to China rose 28 per cent. ESPO discounts hit record width.

2025 – 26

Adding the tankage

Eleven new storage bases commissioned. Total capacity is expected to pass 2 billion barrels by the end of 2026.

Sources: China General Administration of Customs via Reuters; Energy Institute; US House Select Committee on the CCP; MEPEI.

THE RESERVE, PART THREE

1.2 billion

barrels held by early 2026 — about 109 days of seaborne import cover, assembled largely from discounted sanctioned crude bought below market price.

FOR COMPARISON

All IEA members' public emergency stocks	1.25 bn
Largest coordinated IEA release in history	400 mn
US Strategic Petroleum Reserve, total	415 mn

One state, outside the IEA framework and under no obligation to report, holds emergency stocks on the same scale as the entire membership of the institution built to manage oil shocks.

STRATEGY

Three buffers

Chinese energy policy has run on the same three instruments for twenty years: store barrels, spread suppliers, electrify demand.

Reserves

Between 1.2 and 1.47 billion barrels by the end of 2025 — 110 to 180 days of net import cover, far above the IEA's 90-day standard.

Includes commercial and bonded stocks held by refiners, not only state tankage.

Supplier spread

Russia at a fifth of imports, Saudi Arabia at 1.57 mb/d and falling, plus Malaysian, Brazilian and Venezuelan volumes.

PetroChina's chairman states that only about 10 per cent of the company's volumes transit Hormuz.

Electrification

Domestic transport is shifting onto a grid fed by coal and renewables. Oil demand was already described as near its peak before the war.

Total crude imports fell 1.9 per cent in 2024 — the first non-pandemic annual decline on record.

CASE STUDY · MARCH TO JULY 2026

What China actually did

01 Stopped buying at war prices. Refiners withdrew from the spot market rather than compete for scarce cargoes.

02 Met demand from storage instead. Analysts attribute unexplained gaps in the import data to underground strategic releases that satellites cannot observe.

03 Capped what consumers paid. The NDRC limited formula-driven fuel price rises twice. The guided diesel ceiling rose about 36 per cent while global wholesale prices more than doubled.

04 Kept exporting fuel. Refined product exports rose through the crisis, supplying regional markets that had lost their Gulf cargoes.

> China singlehandedly balanced the market in May with its cut-back in imports.
>
> Amrita Sen, founder and director of research, Energy Aspects, speaking to CNBC on 7 August 2026

Domestic fuel price volatility ran at roughly one fifth of the international market. No panic buying was reported in China; Vietnam saw both shortages and panic buying.

COUNTERFACTUAL

The shock that did not arrive

WHAT WAS FORECAST IN SPRING		WHAT HAPPENED	
Goldman Sachs, adverse case, Q3	$120	Brent peak, April	$118
FGE, prolonged near-closure	$150–200	Brent, August	$90
IMF adverse scenario, 2026 average	$100	EIA full-year 2026 average forecast	$87

Attribution is shared and contested. Chinese import restraint sat alongside the IEA release, record demand destruction, and 1.4 million barrels a day of new Atlantic Basin supply. What can be stated precisely is narrower: the largest buyer removed itself from a market short of barrels, and no other actor held the reserves to do the same.

KEY CHALLENGES

What the strategy costs China

The buffer is finite

The IEA reports that the cushions absorbing the shortfall are depleting rapidly. Every released barrel must be bought back later, into whatever market exists then.

Refining took the loss

Capping pump prices while crude doubled crushed margins. Independent teapot refiners reported losses and quota problems from April onwards.

The corridor risk remains

Diversifying suppliers does not diversify sea lanes. Reserves buy time for adjustment; they do not create an alternative route.

Discount sources are fragile

The cheap barrels came from sanctioned producers. Tightening enforcement in late 2025 froze state refiners out of Russian cargoes and left December liftings unsold.

Restraint is not repeatable

Imports recovered in July and were set to rise further in August. The stabilising effect fades as soon as China returns to the market as a buyer.

Nobody can verify it

China publishes no reserve figures. Every number here is an external estimate, and the underground portion of the stockpile cannot be measured.

IMPLICATIONS

Where the pressure landed instead

Asian LNG price, against August 2025	+81%
European gas prices at the peak	+60%
Oil and gas output removed by strikes and shutdowns	13 mb/d
Emerging Asia growth, 2025 to 2026	5.5% → 4.9%

Chinese restraint moderated the crude price. It did nothing for the gas market, the freight market or the insurance market, and it did not restore the physical corridor.

Neighbouring importers absorbed the difference. ASEAN's oil and gas bill runs at about 4 per cent of regional GDP, close to double Europe's share. Vietnam imports 85 per cent of its oil, 88 per cent of that from the Gulf, and holds 30 to 45 days of cover.

Fatih Birol of the IEA has described the conflict as the greatest global energy security challenge in history.

DIFFERENT PERSPECTIVES

Two readings of the same behaviour

READING ONE

China stabilised the market

The largest buyer met its own demand from storage instead of competing for scarce cargoes. That is precisely what a strategic reserve is for, and it is what the IEA's own mechanism attempts at a fraction of the scale.

Held by market analysts at Energy Aspects and reported by CNBC, Middle East Eye and The Dispatch.

READING TWO

China bought the position that made it possible

The reserve was filled with sanctioned Iranian, Russian and Venezuelan crude at below-market prices. On this reading the buffer is a by-product of sanctions arbitrage, and the stabilisation is a side effect of self-interest rather than a public good.

Held in the US House Select Committee report on the CCP and analysis in The National Interest.

Both can be true at once. The useful question is the mechanism, not the motive: world price stability now depends partly on the inventory decisions of a state that reports nothing.

INTERNATIONAL ORGANISATIONS

What the institutions could and could not do

BODY	ACTION TAKEN	LIMIT REACHED
IEA	Released 400 million barrels across roughly 30 countries on 11 March — the largest coordinated drawdown in its fifty-year history.	Prices did not fall. The volume covers four days of world consumption, or twenty days of normal Hormuz flow. China is not a member.
IMF	Revised the World Economic Outlook downwards and prepared $20–50 billion in emergency support. At least a dozen countries opened loan talks.	Finance replaces income; it does not replace barrels. Guidance explicitly warns against reinstating broad fuel subsidies.
OPEC+	Agreed a modest production increase from April in response to low inventories.	Most of its spare capacity sits behind the closed strait. Output cannot rise until transit resumes in both directions.
Ad hoc bodies	A Persian Gulf Strait Authority was formed alongside naval escort operations to manage transit.	Traffic remains a fraction of pre-war levels. Governance was improvised after the fact, not designed in advance.

DEVELOPING COUNTRIES

Where the bill lands

For fuel-importing economies the IMF describes the shock as a large, sudden tax on income.

Africa, Latin America and importing Asia face higher bills against already limited fiscal space. Countries with pre-existing fuel subsidies face a worse fiscal arithmetic than those with liberalised pricing, and those dependent on Gulf remittances take a second hit through household income.

The Kiel Institute finds the crisis severe but differentiated, and that the differentiation follows the fault lines of global inequality — every week the strait stays closed transfers real income out of developing economies permanently.

12+

Countries in talks for new IMF loan programmes, several in sub-Saharan Africa

$20–50bn

Estimated new demand for emergency external finance

2.5%

Global growth in the IMF's adverse path, falling to 2% in its severe scenario

30–45

Days of reserve cover in Vietnam, against China's 109 or more

POLICY RECOMMENDATIONS

What would reduce the next shock

RESERVES

Bring large non-IEA holders into a reporting framework

Coordination is impossible when the largest stockpile is unobservable. Reporting obligations are the realistic step.

REGIONAL POOLING

Build shared emergency stocks for importers who cannot afford their own

A pooled ASEAN facility would give members with 30 days of cover access to nearer 90.

ROUTES

Fund bypass infrastructure before the next closure, not during it

Peninsula pipeline capacity covers a quarter of normal Hormuz volume. Expansion is a decade-long project, not a crisis measure.

FISCAL DESIGN

Target household support rather than restoring broad fuel subsidies

IMF guidance is to let automatic stabilisers work and fund temporary support by reprioritising spending, not widening deficits.

DEMAND

Treat electrification as security policy, not only climate policy

The Kiel Institute identifies reduced Gulf dependence as the only durable mitigation. China's buffer works partly because oil is a fifth of its energy mix.

CHOKEPOINTS

Give transit corridors standing governance

The Persian Gulf Strait Authority was improvised mid-crisis. Bab el-Mandeb and Malacca have no standing mechanism either.

FUTURE OUTLOOK

Three scenarios to 2027

REOPENING

$64–70

A durable transit agreement holds. Shut-in Gulf output returns, supply rebounds 8.3 mb/d in 2027 and inventories rebuild into surplus. The EIA's central case.

China becomes a buyer again and refills its reserve into a falling market.

FROZEN CONFLICT

$90–100

Partial transit under Iranian-designated routes, periodic re-closure, permanent risk premium. The August position, extended.

Buffers keep depleting. Each month the next disruption is met with thinner cover.

ESCALATION

$120+

Talks collapse and the market reprices the physical shortfall it has been discounting. Global growth falls towards 2 per cent on the IMF's severe path.

Chinese restraint cannot be repeated at the same scale — the reserve has already been drawn.

CONCLUSION

The largest oil shock in history produced the smallest price response, and no institution planned it

Two decades of counter-cyclical stockpiling gave one state the capacity to leave the market for several months. When Hormuz closed, that capacity did the work the IEA's emergency mechanism was designed to do, at three times the scale and with none of the coordination.

Calling this a rescue overstates it: demand destruction, new Atlantic Basin supply and the IEA release all mattered. Calling it incidental understates it. The honest formulation is that the outcome depended on a decision no other country could have made.

The uncomfortable implication is about governance rather than China. Global price stability now rests partly on inventory decisions taken outside any multilateral framework, unreported and unaccountable, by a state that will act on its own interest when those interests diverge from the market's.

Resilience was built nationally. The benefit was global and accidental. That is not a system anyone should want to rely on twice.

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All figures are third-party estimates. China publishes no official strategic reserve data; reserve volumes are ranges reported by external analysts.

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